

Business&economy **AUTOMOBILES**

other parts of Asia and North America in the future." The pride in putting India as the lead country is obvious in what Kazuo Okamoto, vice-president, Toyota Motors, says, "Our tagline of 'World First, India First' represents our intention to have India play a pivotal role in Toyota's global expansion plans and the time has come for us to strategically accelerate our growth here."

So what makes India such a hot proposition? Simply that India is indisputably the best bet among the few remaining growth markets to keep the auto-makers humming. The penetration of cars remains abysmally low, creating a huge untapped market. Compared with China's 27 cars per 1,000 people, India has only seven car owners per 1,000 people. China sold around 6.5 million units against India's 1.55 million in 2008. Agrees Surajit Mitra, additional secretary, Department of Heavy Industry: "India has become a favourite destination for automobile manufacturers due to a strong middle class, growing at 22 per cent annually with rising disposable incomes." He is not far off the mark. According to the National Council for Applied Economic Research, the middle-class share of the population will go up from 5 per cent in 2005 to 20 per cent in 2015 and to around 40 per cent by 2025.

No doubt, that is enough cheer to drive the compact segment volumes, but even for players in the luxury segment, there is hope of a greater demand from a burgeoning millionaire constituency. As Kronschnabl points out, in absolute terms, India cannot compete with other high-volume single markets. Yet, he believes the future belongs here. "If you want to benefit from the dynamics of the Indian market later, you need to act today. Our commitment to India was among the strategic decisions that had to be taken right away," he says.

The sentiment reflects the strength of the Indian market's ability to hold out against the recession faced by the auto sector in the developed markets like Europe, the US and Japan. Indeed, except for a blip on the radar, the auto



industry has clocked a robust 15 per cent growth in 2009.

Even as Western markets struggle to come out of the gloom, the industry posted the highest single-month growth of 45.8 per cent in November. As per the latest SIAM figures, during April-November 2009, India produced 1.46 million passenger cars and 6.72 million two-wheelers, sold 1.22 million passenger cars and 6.01 million two-

wheelers in the domestic market. It exported 0.29 million passenger cars and 0.73 million two-wheelers.

While the numbers are exciting, global majors know that this alone cannot sustain their growth. Cost efficiencies would be needed, and what better than sourcing parts from India. While a few years ago, the GMs of the world would turn their noses on Indian nuts and bolts, the perception that Indian-

JAGUAR'S XJR CONVERTIBLE (FRONT) AND THE XFL

